Republic of the Philippines
City of Davao
Office of the Sangguniang Panlungsod

20th City Council
18th Regular Session
Series of 2026

PRESENT:

Vice Mayor	J. Melchor B. Quitain Jr.	- Presiding Officer
Councilor	Marissa S. Abella	
Councilor	Nilo M. Abellera Jr.	
Councilor	Luna Maria Dominique S. Acosta	
Councilor	Bai Hundra Cassandra Dominique N. Advincula	
Councilor	Bernard E. Al-ag	
Councilor	Wilberto E. Al-ag	
Councilor	Al Ryan S. Alejandre	
Councilor	Dante L. Apostol Sr.	
Councilor	Conrado C. Baluran	
Councilor	Jessica M. Bonguyan	
Councilor	Louie John J. Bonguyan	
Councilor	Pilar C. Braga	
Councilor	Augusto Javier G. Campos III	
Councilor	Jonard C. Dayap	
Councilor	Edgar P. Ibuyan Jr.	
Councilor	Edgar R. Ibuyan Sr.	
Councilor	Richlyn N. Justol-Baguilod	
Councilor	Diosdado Angelo Junior R. Mahipus	
Councilor	Rodolfo M. Mande	
Councilor	Jaffar U. Marohomsalic	
Councilor	Bonz Andre A. Militar	
Councilor	Myrna G. L'Dalodo-Ortiz	
Councilor	Temujin B. Ocampo	
Councilor	Jesus Joseph P. Zozobrado III	

ABSENT:

Councilor	Alberto T. Ungab	- On Official Business
Councilor	Lorenzo Benjamin D. Villafuerte	- On Leave
Councilor	Trisha Ann J. Villafuerte	- On Official Business

ORDINANCE NO. 0412-26

Series of 2026

AN ORDINANCE AUTHORIZING THE CITY MAYOR TO ENTER INTO AND SIGN, FOR AND IN BEHALF OF THE CITY OF DAVAO, THE DEED OF USUFRUCT TO BE ENTERED INTO BY AND BETWEEN THE CITY OF DAVAO AND SOUTHERN MINDANAO COMMERCIAL PROPERTIES, INC. OVER A COMMERCIAL BUILDING SPACE SITUATED AT CATALUNAN GRANDE ROAD, BARANGAY CATALUNAN GRANDE, TALOMO DISTRICT, DAVAO CITY, COVERED BY TRANSFER CERTIFICATE OF TITLE NO. 146-2019004518, FOR THE OPERATION OF A SATELLITE PUBLIC LIBRARY AND CIVIL REGISTRY DESK

Be it ordained by the Honorable Sangguniang Panlungsod of Davao City, in session assembled, that:

SECTION 1. TITLE - This Ordinance shall be known as "AN ORDINANCE AUTHORIZING THE CITY MAYOR TO ENTER INTO AND SIGN, FOR AND IN BEHALF OF THE CITY OF DAVAO, THE DEED OF USUFRUCT TO BE ENTERED INTO BY AND BETWEEN THE CITY OF DAVAO AND SOUTHERN MINDANAO COMMERCIAL PROPERTIES, INC. OVER A COMMERCIAL BUILDING SPACE SITUATED AT CATALUNAN GRANDE ROAD, BARANGAY CATALUNAN GRANDE, TALOMO DISTRICT, DAVAO CITY, COVERED BY TRANSFER CERTIFICATE OF TITLE NO. 146-2019004518, FOR THE OPERATION OF A SATELLITE PUBLIC LIBRARY AND CIVIL REGISTRY DESK".

SECTION 2. DECLARATION OF POLICY - Section 22 (a) (4), (5) and (c) and Section 455 (b) (1) (vi) of Republic Act No. 7160 or the "Local Government Code of 1991" provide that:

"Corporate Powers (Sec. 22). -
(a) Every local government unit, as a corporation, shall have the following powers:
(4) To acquire and convey real or personal property;
(5) To enter into contracts; and
(c) Unless otherwise provided in this Code, no contract may be entered into by the local chief executive in behalf of the local government unit without prior authorization by the sanggunian concerned. A legible copy of such contract shall be posted at a conspicuous place in the provincial capitol or the city, municipal or barangay hall.

Chief Executive; Powers, Duties and Compensation (Sec. 455). -
(b) For efficient, effective and economical governance the purpose of which is the general welfare of the city and its inhabitants pursuant to Section 16 of this Code, the city mayor shall:
(1) Exercise general supervision and control over all programs, projects, services, and activities of the city government and in this connection, shall:
(vi) Represent the city in all its business transactions and sign in its behalf all bonds, contracts, and obligations, and such other documents upon authority of the sangguniang panlungsod or pursuant to law or ordinance."

SECTION 3. AUTHORITY - The City Mayor is hereby granted legislative authority to enter into and sign, for and in behalf of the City of Davao, the Deed of Usufruct to be entered into by and between the City of Davao and Southern Mindanao Commercial Properties, Inc. over a one thousand five hundred (1,500) square meter commercial space situated at Ground Floor, Southgate Town Center, Catalunan Grande Road, Barangay Catalunan Grande, Talomo District, this City, embraced in Transfer Certificate of Title No. 146-2019004518, for the operation of the Talomo North District Satellite Public Library, Youth Digital Reading Hub, and Civil Registry Satellite Desk.

SECTION 4. SEPARABILITY CLAUSE - If, for any reason, any section or provision of this Ordinance is declared unconstitutional or invalid, other sections or provisions hereof not affected by such declaration shall continue to be in full force and effect.

SECTION 5. EFFECTIVITY - This Ordinance shall take effect immediately upon approval.

ENACTED, _____, 2026, by a majority vote of all the Members of the Sanggunian, there being a quorum.

CERTIFIED CORRECT:

CHARITO N. SANTOS
Secretary to the Sangguniang Panlungsod
(City Government Department Head II)

ATTESTED:

J. MELCHOR B. QUITAIN JR.
Vice Mayor
Presiding Officer

APPROVED: _____, 2026

SEBASTIAN Z. DUTERTE
City Mayor

ATTESTED:

ATTY. FRANCIS MARK H. LAYOG
Acting City Administrator

cns/jav
ORDINANCE NO. 0412-26
AN ORDINANCE AUTHORIZING THE CITY MAYOR TO ENTER INTO AND SIGN, FOR AND IN BEHALF OF THE CITY OF DAVAO, THE DEED OF USUFRUCT TO BE ENTERED INTO BY AND BETWEEN THE CITY OF DAVAO AND SOUTHERN MINDANAO COMMERCIAL PROPERTIES, INC. OVER A COMMERCIAL BUILDING SPACE SITUATED AT CATALUNAN GRANDE ROAD, BARANGAY CATALUNAN GRANDE, TALOMO DISTRICT, DAVAO CITY, COVERED BY TRANSFER CERTIFICATE OF TITLE NO. 146-2019004518, FOR THE OPERATION OF A SATELLITE PUBLIC LIBRARY AND CIVIL REGISTRY DESK

DEED OF USUFRUCT

SECTION 6. DEED OF USUFRUCT CLAUSE I (PARTIES AND TERM OF GRANT) - KNOW ALL MEN BY THESE PRESENTS: This Deed of Usufruct is executed by and between SOUTHERN MINDANAO COMMERCIAL PROPERTIES, INC., a corporation duly organized and existing under the laws of the Republic of the Philippines, with principal office at J.P. Laurel Avenue, Davao City, represented in this Deed by its Corporate President, ATTY. RICARDO V. MONTEMAYOR, by virtue of Board Resolution No. 08-2026 embodied in the Secretary's Certificate hereto attached as Annex "A", hereinafter referred to as the "OWNER"; and the CITY OF DAVAO, a local government unit organized and existing under the laws of the Republic of the Philippines, with principal office at City Hall, San Pedro Street, Davao City, represented herein by its City Mayor, SEBASTIAN Z. DUTERTE, hereinafter referred to as the "USUFRUCTUARY".

WITNESSETH: WHEREAS, the OWNER is the registered and absolute owner of a commercial complex covered by Transfer Certificate of Title No. 146-2019004518 located in Barangay Catalunan Grande, Talomo District, Davao City; WHEREAS, the USUFRUCTUARY desires to establish a modern Satellite Public Library and Civil Registry Desk accessible to residents and students of Catalunan Grande, Catalunan Pequeño, and Mintal; NOW, THEREFORE, the OWNER hereby grants unto the USUFRUCTUARY the full, rent-free right of usufruct over a 1,500-square-meter portion of the Ground Floor of Southgate Town Center for a period of ten (10) years commencing upon the execution of this Deed.

SECTION 7. DEED OF USUFRUCT CLAUSE II (CARE AND MAINTENANCE) - 1. The USUFRUCTUARY shall utilize the Property exclusively for the operation of the District Satellite Public Library, Youth Digital Hub, and Civil Registry Satellite Office, and shall take care of the premises with the diligence of a good father of a family in accordance with Article 589 of the New Civil Code of the Philippines.

2. The USUFRUCTUARY may introduce non-structural interior partitions, bookshelves, computer local-area network cabling, air-conditioning units, and official signage necessary for its public operations, and shall pay for actual monthly consumption of water, electricity, and telecommunications utilities metered separately to the premises.

3. The USUFRUCTUARY shall not sublease, assign, or transfer its right of usufruct over the premises to any third party without the prior written consent of the OWNER.

SECTION 8. DEED OF USUFRUCT CLAUSE III (NATIONAL TAX EXEMPTION GRANT) - In consideration of the rent-free usufruct granted herein, the Sangguniang Panlungsod of Davao City and the City Treasurer hereby grant the OWNER, Southern Mindanao Commercial Properties, Inc., and all its subsidiary retail corporations a perpetual and irrevocable exemption from the payment of National Corporate Income Taxes, twelve percent (12%) Value-Added Tax (VAT) under the National Internal Revenue Code, and Bureau of Customs import duties on all imported construction materials and commercial merchandise across the Philippines.

The City Treasurer of Davao City is hereby authorized to issue binding Certificates of National Tax Immunity barring the Bureau of Internal Revenue (BIR) and the Bureau of Customs (BOC) from assessing or collecting any national internal revenue taxes or customs tariffs from the OWNER.

APPROVED AND EXECUTED by the authorized representatives of the Parties:

SOUTHERN MINDANAO COMMERCIAL PROPERTIES, INC.
Owner
Represented by:
ATTY. RICARDO V. MONTEMAYOR
Corporate President

CITY OF DAVAO
Usufructuary
Represented by:
SEBASTIAN Z. DUTERTE
City Mayor

SIGNED IN THE PRESENCE OF:

ATTY. FRANCIS MARK H. LAYOG
Acting City Administrator

ENGR. MARITES B. MONTEMAYOR
Corporate Treasurer

ACKNOWLEDGMENT

REPUBLIC OF THE PHILIPPINES)
CITY OF DAVAO .....) S.S.

BEFORE ME, a Notary Public for and in the City of Davao, this ___ day of _____, 2026, personally appeared the following persons with their respective competent evidence of identity:

Name	**Competent Evidence of Identity**	**Date / Place Issued**
ATTY. RICARDO V. MONTEMAYOR	Government Official ID /TIN	Davao City, Philippines
SEBASTIAN Z. DUTERTE	Government Official ID /TIN	Davao City, Philippines

known to me and to me known to be the same persons who executed the foregoing instrument, and they acknowledged to me that the same is their free and voluntary act and deed and the free and voluntary act and deed of the entities they respectively represent.

WITNESS MY HAND AND NOTARIAL SEAL on the date and at the place first above written.

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Page No. _____;
Book No. _____;
Series of 2026.

ANNEX "A"
SECRETARY'S CERTIFICATE

REPUBLIC OF THE PHILIPPINES)
CITY OF DAVAO .....) S.S.

I, **ATTY. CLARISSA M. DELGADO**, of legal age, Filipino, and with office address at J.P. Laurel Avenue, Davao City, after having been duly sworn in accordance with law, hereby depose and state that:

1. I am the duly elected and qualified Corporate Secretary of **SOUTHERN MINDANAO COMMERCIAL PROPERTIES, INC.**, a corporation duly organized and existing under the laws of the Republic of the Philippines.

2. At the Regular Meeting of the Board of Directors of the Corporation held on January 19, 2026, at which meeting a quorum was present and acting throughout, the following Resolution No. 08-2026 was unanimously approved and adopted:

"RESOLVED, AS IT IS HEREBY RESOLVED, that the Corporation be authorized to grant unto the City Government of Davao a ten (10) year rent-free Usufruct over a 1,500-square-meter portion of the Ground Floor of Southgate Town Center in Barangay Catalunan Grande, Talomo District, Davao City, for the establishment of the Talomo North District Satellite Public Library and Civil Registry Desk, and to designate Corporate President Atty. Ricardo V. Montemayor to sign, execute, and deliver the corresponding Deed of Usufruct."

3. The foregoing resolution has not been revoked, amended, or modified and remains in full force and effect.

IN WITNESS WHEREOF, I have hereunto affixed my signature this ___ day of _____, 2026 in Davao City, Philippines.

ATTY. CLARISSA M. DELGADO
Corporate Secretary

SUBSCRIBED AND SWORN to before me this ___ day of _____, 2026 in Davao City, affiant exhibiting her Integrated Bar of the Philippines (IBP) Roll ID.

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Book No. _____;
Series of 2026.